
NEW ZEALAND 2005

1. Overview of the tax-benefit system

The provision of social security benefits in New Zealand is funded from general taxation and not specific social security contributions. For example, social security benefits for the unemployed are not funded from specific employee/employer contributions. There are no minimum working hours or earnings required in order for a person to be covered by the social security provisions. All New Zealanders regardless of their employment history are covered by the benefits provided under the Social Security Act 1964. All benefits are payable without a fixed duration. In addition to the specific qualifying criteria for each benefit, provision is subject to a New Zealand residence requirement and personal income (joint income in the case of a married couple).

A guaranteed minimum family income (family tax credit) exists, but only for non-beneficiary families with children whose main source of income is salary or wages. A family assistance programme is also available consisting of a child tax credit, parental tax credit and family support tax credit.¹ The tax unit is based on personal income, although eligibility for tax credits is based on combined family income. At 30 June 2005, the average taxable income of personal taxpayers was NZD 28 151.

1.1. Average wage (AW)

The 2005 AW level is NZD 39559.

2. Unemployment insurance

There is no unemployment insurance.

3. Unemployment assistance

3.1 Conditions for receipt

A person is entitled to the Unemployment Benefit provided they are available and willing to undertake full-time paid employment. A person must have resided in New Zealand for at least two years and be over the age of 18, or alternatively over the age of 16, and married or in a civil union with one or more dependent children. They must not be in full-time employment (defined as working 30 or more hours per week), but available for and taking reasonable steps to find

¹ Note that these tax credits are not credits against the actual tax liability of an individual taxpayer, and are administered largely as transfer payments paid through the tax system.

suitable full-time employment. These are referred to as the work test provisions. Striking workers and full time students are not entitled to the Unemployment Benefit.

3.1.1 *Employment conditions*

None.

3.1.2 *Contribution conditions*

None.

3.2 *Calculation of benefit amount*

3.2.1 *Calculation of gross benefit*

Entitlement is based on the family, not on the individual.

Family type	Gross rate (NZD per 4 weeks)
Single 18-19 at home	528.84
Single 18-19 away from home	661.08
Single 20-24	661.08
Single 25 and over	798.12
Sole parent	1167.12
Married couple (with or without children)	1322.16

In the case of married couples, each partner receives half of the total benefit.

3.2.2 *Income and earnings disregards*

The net payment is reduced by a certain percentage of gross before tax earnings:

Gross income (in NZD per week)	Reduction (in net benefit)
Exceeding NZD 80	70%

The unit of income assessment is personal income or joint income in the case of married couple.

3.3 Tax treatment of benefit and interaction with other benefits

Benefits are taxable with each spouse receiving half of the benefit entitlement for taxation purposes.

3.4 Benefit duration

The benefit is payable indefinitely, however, a stand down is applied to new applicants. The length of the stand down (1-10 weeks) is based on gross income and family circumstances in either the 6 months or 12 months prior to the date of benefit entitlement (whichever results in the shorter stand down). A longer waiting period (13 weeks) applies to an applicant for an employment-related benefit who has left their employment without a good reason, or who has lost their employment due to serious misconduct.

3.5 Treatment of particular groups

3.5.1 Young persons

The Independent Youth Benefit (IYB) rate in April 2005 was NZD 661.08 gross for each four-week period. The basic qualification for the IYB requires the applicant to be 16 or 17 years of age, to be without a dependent child or dependent children, and to have resided in New Zealand for not less than 2 years. An applicant for IYB must not be living with their parents or expect to be financially dependent on their parents, due to a breakdown in family circumstances. In order to receive IYB a person must be unemployed, temporarily incapacitated, in full-time employment related training, or full-time at secondary school. Tertiary students are not eligible for the IYB as they are able to apply for a student allowance through the Ministry of Social Development. The time limited Job Search Allowance for 16-17 year olds was repealed on 1 January 1998.

3.5.2 Older workers

The work test provisions (see section 3.1) are relaxed for older job seekers. Recipients of work tested benefits are exempt from the work test in the following situations:

- Partners aged between 55-59 years may apply for an exemption from meeting their work test obligations if they have been subject to the work test for 6 months since turning 55 years old.
- If they are aged over 60 years.

Universal Superannuation is payable from age 65, but there is no compulsory retirement age.

3.5.3 *Others if applicable*

A client (or partner) serving a sentence of home detention, or subject to conditions and requirements of a court sentence or court order that limits their ability to meet all the conditions of their work test, can be exempted from the work test for this period.

Jobseekers that are pregnant may be exempt from their work test obligations from the day they provide proof from a health professional (i.e. Doctor or registered midwife). Once the jobseeker is 27 weeks pregnant they can be transferred to the non work-tested Sickness Benefit.

A person who is sick, injured or disabled may be eligible to receive the Invalids Benefit or Sickness Benefit. These benefits are not work tested though a spouse or partner may be subject to a work test depending on their circumstances.

4. **Social assistance**

There is no information.

5. **Housing benefits**

5.1 ***Conditions for receipt***

The Accommodation Supplement is payable to those with high accommodation costs (private rent, board or home ownership costs) and low income/cash assets.

5.2 ***Calculation of benefit amount***

The calculation of the benefit is based on actual accommodation costs.

5.2.1 *Calculation of gross benefit*

For beneficiaries in rented accommodation or boarding or who are homeowners, the rate payable is 70 per cent of the accommodation costs exceeding 25 per cent (30 percent if they own their own home) of the after tax rate of benefit plus the first child rate of Family Support for people with children to which the household would be eligible (see section 3.2.1).

For low income working families the rate payable is 70 per cent of the accommodation costs exceeding 25 per cent (30 per cent if they own their home) of the relevant rate of Unemployment Benefit plus the first child rate of Family Support.

Maximum limits to the Accommodation Supplement are determined according to average housing costs in different parts of the country. For example, the Accommodation Supplement available in Auckland reflects the higher accommodation costs in that city.

Accommodation Supplement Maxima (in NZD) from 1 April 2005,				
Family type	Area 1	Area 2	Area 3	Area 4
1 person	145	100	65	45
2 people	160	125	75	55
3+ people	225	165	120	75

5.2.2 *Income and earnings disregards*

Recipients of Accommodation Supplement have no abatement on their housing benefit while they are on a benefit. For non-beneficiaries their entitlement is reduced by 25 cents for each dollar of gross income above the relevant Unemployment Benefit cut out point.

Family type	Income Threshold for non-beneficiaries (NZD per 4 weeks)
Single 16-17 years	1284
Single 18 years and over	1284
Married couple with no children	1928
Single person with child(ren)	1700
Married person with 1 or more children	1928

A cash assets test is also applied. For beneficiaries, assets exceeding NZD 16 200 in the case of a married person/single person with a dependent child or NZD 8 100 in any other case preclude entitlement.

In the case of non-beneficiaries, for a married couple or a single person with a dependent child or children, every NZD 100 of cash assets over NZD 5 400 held is treated as NZD 1 per week income. For a single person, every NZD 100 of cash assets over NZD 2 700 held is treated as NZD 1 per week income.

5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

5.4 *Treatment of particular groups*

Tenants who live in a state house receive a rental subsidy through Income Related Rents, and are not eligible for the Accommodation Supplement. The Income Related Rent subsidy reduces the amount of rent payable to 25 per cent of the person's net income.

5.4.1 *Young persons*

Young people aged 16-17 years are not eligible to receive the Accommodation Supplement unless they are financially independent.

5.4.2 *Older workers*

None.

5.4.3 *Others if applicable*

None.

6. Family benefits

6.1 Conditions for receipt

The Family Support tax credit is available to families on low incomes who have children. For beneficiary families it is paid with their weekly benefit. For non-beneficiary families, payments are made fortnightly by the Inland Revenue Department (IRD) with an end-of year square up, or in a lump sum at the end of the tax year.

6.2 Calculation of benefit amount

The amounts are differentiated by age of the child.

6.2.1 Calculation of gross benefit

The 4-weekly amounts in NZD are:

Number of children	Gross rate per child (NZD per 4 weeks)
For the eldest child:	
Aged 0 – 15 years	288
Aged 16 – 18 years	340
For each additional child:	
Aged 0 – 12 years	188
Aged 13 – 15 years	220
Aged 16 – 18 years	300

6.2.2 Income and earnings disregards

The tax credit is reduced by 18 cents per dollar earned between) NZD 20 356 – 27 481 (consisting of joint income in the case of a couple) and by 30 cents per dollar earned above NZD 27 481.

6.3 Tax treatment of benefit and interaction with other benefits

Not taxable

6.4 Treatment of particular groups

None.

6.4.1 *Young persons*

None.

6.4.2 *Older workers*

None.

6.4.3 *Others if applicable*

None.

7. **Childcare for pre-school children**

Information relating to the proportion of children in childcare is not yet available for 2005.

7.1 ***Out-of-pocket childcare fees paid by parents***

Amounts of fees that can be charged for child care are not legislated. Child care fees are determined by market mechanisms. There is no data available about the typical/average fees paid by parents for full-time formal centre-based child care.

If NZD 940 or more is spent on child care fees over a tax year, parents are eligible for a tax rebate of NZD 310.

Child care fees are not taken into account when determining entitlement to benefits.

7.2 ***Child-care benefits***

7.2.1 *Conditions for receipt*

Childcare Subsidy is a non-taxable payment that aims to assist low-income families who have dependent children to undertake and remain in employment, education or training. It also assists a client to access pre-school care if they or their child are seriously disabled or ill. Families who meet the income test and where parents are in work-related activities or undertaking training may access up to 50 hours subsidised child-care per week during the time they are engaged in those activities, including travel time. All other low-income families may be eligible for 9 hours of Childcare Subsidy per week.

A person may be able to receive assistance for subsidised childcare of up to 9 hours a week if:

- they are the principal caregiver of a dependent child
- they meet an income test
- the child is under 5 years old **or** under 6 years old if the child is one for whom a Child Disability Allowance is paid **or** aged 5 years old but not yet attending a school (Childcare Subsidy payable for 4 weeks after the child turns 5 years old)

- the child attends a licensed pre-school facility
- the child attends for at least 3 hours per week
- they are a New Zealand citizen or permanent resident (ie not be in New Zealand unlawfully or here on temporary permit) **and** are ordinarily resident in New Zealand

In addition up to 50 hours a week subsidised childcare may be available to clients who are:

- in paid employment (including full-time, part-time, temporary and casual) **or**
- in employment-related training course accredited by the New Zealand Qualifications Authority **or**
- in a Job Seeker Development Activity **or**
- attending a course of study at a Tertiary Institution or Secondary School **or**
- temporarily unable to continue employment because of illness or injury **or**
- attending an approved rehabilitation programme **or**
- seriously disabled or ill caregivers **or**
- receiving a Child Disability Allowance for the child **or**
- the child's sibling receives Child Disability Allowance **or**
- the child's sibling is in hospital

The Out of School Care and Recreation (OSCAR) Subsidy is directed towards parents with primary school aged children (5-13 years old). The subsidy covers out of school care and school holiday programmes while the parent or caregiver works or actively prepares for work (including travel time). The rate payable takes into account an applicant's income and number of children in the family. The subsidy is payable to the provider of OSCAR services.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

Below are the Childcare Subsidy income abatement thresholds and maximum rates at 1 April 2005.

Number of children	Gross weekly income	Childcare (per hour)	Subsidy	Childcare (per week for 50 hours)	Subsidy
1	Less than \$770	\$2.91		\$145.50	
	\$770 to \$849.99	\$2.03		\$101.50	
	\$850 to \$929.99	\$1.13		\$56.50	
	\$930 or more	nil		nil	
2	Less than \$950	\$2.91		\$145.50	
	\$950 to \$1039.99	\$2.03		\$101.50	
	\$1040 to \$1129.99	\$1.13		\$56.50	
	\$1130 or more	nil		nil	

3 or more	Less than \$1110	\$2.91	\$145.50
	\$1110 to \$1219.99	\$2.03	\$101.50
	\$1220 to \$1329.99	\$1.13	\$56.50
	\$1330 or more	nil	nil

Below are the OSCAR Subsidy income abatement thresholds and maximum rates at 1 April 2005.

Number of children	Gross weekly income (NZD)	OSCAR Subsidy (per hour) (NZD)	OSCAR Subsidy (per week) (NZD)	
			Term time	Holidays (for 50 hours)
1	Less than \$770	\$2.91	\$58.20	\$145.50
	\$770 to \$849.99	\$2.03	\$40.60	\$101.50
	\$850 to \$929.99	\$1.13	\$22.60	\$56.50
	\$930 or more	nil	nil	nil
2	Less than \$950	\$2.91	\$58.20	\$145.50
	\$950 to \$1039.99	\$2.03	\$40.60	\$101.50
	\$1040 to \$1129.99	\$1.13	\$22.60	\$56.50
	\$1130 or more	nil	nil	nil
3 or more	Less than \$1110	\$2.91	\$58.20	\$145.50
	\$1110 to \$1219.99	\$2.03	\$40.60	\$101.50
	\$1220 to \$1329.99	\$1.13	\$22.60	\$56.60
	\$1330 or more	nil	nil	nil

7.2.2.2 Income and earnings disregards

Benefits are reduced with gross income, see section 7.2.2.1

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Non-taxable

7.2.4 *Treatment of particular groups*

None.

8. **Employment-conditional benefits**

8.1 *Conditions for receipt*

The guaranteed minimum family income (known as the Family Tax Credit) is only available to non-beneficiary families. To qualify, a principal child carer or partner must work for salary or wages. This work must be for at least 20 hours per week in a sole parent family and a combined 30 hours per week in a two-parent family. The self-employed are not eligible for the Family Tax Credit.

See also Child Tax Credit, section 10.1.1.2.

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

The Family Tax Credit ensures a minimum net income of NZD 286 (including ACC deduction) net per week (NZD 18 368 gross per annum) before Family Support and the Child Tax Credit.

8.2.2 *Income and earnings disregards*

Family, housing and child-care benefits are excluded from the income test.

8.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

8.4 *Benefit duration*

Indefinite.

8.5 *Treatment of particular group*

8.5.1 *Young persons*

None.

8.5.2 *Older workers*

None.

8.5.3 *Others if applicable*

None.

9. *Lone-parent benefits*

9.1 *Conditions for receipt*

Sole parents generally qualify for a Domestic Purposes Benefit provided that they:

- have a qualifying dependent child and are the primary carer for that child
- are 18 years or older or have been legally married or in a civil union

From 10 March 2003, the work test was removed from the Domestic Purposes and Widow's Benefit. Previously the age of the youngest child determined the work test requirements for sole parents in receipt of the DPB or Widows Benefit. Instead people on these benefits participate in a planning process that promotes goal setting for the time when their circumstances allow them to successfully combine parenting and work. While most sole parent beneficiaries receive either a Domestic Purposes or Widows Benefit, other benefits (Unemployment, Sickness and Invalids) can also be paid at a sole parent rate.

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

As at 1 April 2005 the weekly rate of the sole parent Domestic Purposes Benefit was gross NZD 291.78.

9.2.2 *Income and earnings disregards*

There is an earnings disregard of NZD 80 per week, after which benefits are reduced by 30 cents for each dollar of earnings up to NZD 180. Earnings above NZD 180 per week reduce the benefit by

70 cents for each dollar earned. From 26 August 2002, this abatement regime applied to all DPB recipients regardless of the age of their youngest child. The default is an annual income assessment, though the beneficiary may choose to have a weekly assessment.

9.3 *Tax treatment of benefit and interaction with other benefits*

The Domestic Purposes Benefit is taxable.

9.4 *Benefit duration*

The Domestic Purposes Benefit does not have a limited duration. The sole parent will lose eligibility for the benefit when their youngest dependent child turns 18 or at the end of the secondary school year in which their youngest child turned 18.

9.5 *Treatment of particular group*

9.5.1 *Young persons*

None.

9.5.2 *Older workers*

None.

9.5.3 *Others if applicable*

None.

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

10.1.1.2 Standard tax credits

The Low Income Rebate applies where income is under NZD 38 000. It is calculated at 4.5 cents in every dollar of income where income is under NZD 9 500. Where the income is in the range NZD 9 500 - 38 000, the maximum rebate of NZD 427.50 is reduced by 1.5 cents for every dollar over NZD 9 500.

The Transitional Tax Allowance is available to persons with income under NZD 9 880. This rebate is limited to those in full-time employment or who would have been in full-time employment but for sickness or accident. The rebate is NZD 728, reduced by 20 cents on each dollar earned over NZD 6 240 – thus the rebate runs out at NZD 9 880.

Family support tax credit

For an eldest child aged 16-18, the rate of family support tax credit is NZD 4 420 per year, while the rate of NZD 3 744 applies if the eldest child is younger than 16. For subsequent children the rate depends on the age of the child; NZD 3 900 per year for 16-18 year-olds, NZD 2 860 per year for 13-15 year-olds and NZD 2 444 per year for children under 13 years of age. The total credit is abated by 18 cents on each dollar earned in range NZD 20 356 – 27 481 and by 30 cents on each dollar earned over NZD 27 481. The abatement is based on the combined family income.

Child tax credit

The Child tax credit is available to families not receiving an income-tested benefit, veteran's pension, New Zealand superannuation, student allowance or a weekly accident compensation for a period of more than 3 months. The level of assistance it provides is NZD 780 per child per year. It is affected by the abatement regime used with the family support tax credit, although it is unaffected until the latter has been abated to zero.

Family tax credit

The Family tax credit is a scheme that ensures a guaranteed minimum family net income for all full-time earners with dependent children. The guaranteed minimum after-tax income is NZD 290 per week plus family support tax credit.

10.1.2 Income tax schedule

	Gross taxable income (NZD per year)	%
Statutory tax rate	0 – 38 000	19.5
	38 000 – 60 000	33

Above 60 000

39

10.1.3 *State and local income taxes*

New Zealand has no state or local income tax.

10.2 *Treatment of family income*

Members of the family are taxed separately.

10.3 *Social security contribution schedule*

New Zealand has no compulsory social security contributions to schemes operated within the Government sector.

It should be noted that there is an accident compensation scheme administered by the Accident Compensation Corporation for residents and temporary visitors to New Zealand. This scheme is funded in part by premiums paid by employees and employers. For employees, the premium represents 1.2% of their gross earnings. For employers, the premiums are based on a percentage of the total payroll and the applicable rate varies depending upon the associated accident risk (the average rate is 0.9%).

10.4 *Treatment of particular group*

10.4.1 *Young persons*

Children: No credit to parents. A child under 15 years of age, or under 18 and attending an educational institution, may claim the child rebate against their own earnings. The rebate is calculated as 15 per cent of gross earnings from employment, up to a maximum allowance of NZD 156 on NZD 1 040 of income. Investment earnings are excluded from the calculation of this rebate.

10.4.2 *Older workers*

10.4.3 *Others if applicable*

11. Part-time work

11.1 *Benefit rules for part-time work*

None.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

12.1 *Policy changes introduced during the previous year*

A number of initiatives within the “Working for Families” package were introduced in October 2004 and on 1 April 2005. These were:

In October 2004:

- Out of School Care and Recreation Subsidy for school-age children was raised to match Childcare Subsidy and both rates were then increased by 10%
- Income thresholds for Childcare Assistance were raised significantly
- Childcare co-ordinators were introduced to help families access the care and subsidies they are entitled to
- Beneficiaries who get additional income no longer have their Accommodation Supplement reduced until they move off benefit
- Accommodation Supplement abatement thresholds, entry thresholds for non-beneficiaries were increased

From 1 April 2005:

- Family Support rates were increased by \$25 per week for the first child and \$15 for subsequent children. Foster Care Allowance, Unsupported Child’s Benefit and Orphans Benefit were increased by \$15 per week.
- The child component of some main benefit rates were moved into family support regime (e.g. the sole parent, 2 or more children rate was reduced to the sole parent rate, and the married couple with children rate was reduced to the married couple rate, for some main benefits)
- The number of Accommodation Supplement areas were increased from three to four (with several locations being moved in areas with higher maximum rates), and the maximum rates in some areas increased.
- Family Support Tax Credit was included as income for Special Benefits for the first time.

From 3 October 2005, the Childcare Assistance rates were increased by a further 10% (note that the rates shown in the table above are the rates that applied prior to this increase).

From May 2005, applicants for a benefit were able to choose to have their income assessed over either the prior 26 or 52 weeks, for the purposes of determining the length of the stand-down period to apply before their first benefit payment .

26 April 2005, civil unions were recognised for social security purposes for both same sex and opposite sex civil union couples.

12.2 *Policy changes announced*

In May 2004 the government announced the introduction of a new In-Work Payment worth \$60 per family plus an additional \$15 for fourth and subsequent children. This is due to be implemented from 1 April 2006 and will replace the Child Tax Credit.

In December 2005, government announced a further extension to the Working for families package with the abatement threshold to be further raised to \$35,000, and the abatement rate reduced to 20% from 1 April 2006.

In February 2005 the Government announced major changes to the benefit system. These changes will consist of a **single core benefit** with one set of rates and one set of eligibility criteria and a series of add-ons to support people with higher costs because of things like accommodation, childcare, or disability.

Trials of a new work-focussed service for all beneficiaries will begin in 12 locations across the country in July 2005 as part of the government's reform of the welfare system. The service will focus on work outcomes for all beneficiaries. Sole parents and people with disabilities or illness will have access to a full range of specialised employment services, including work seminars, job matching and training.

The Government is investing nearly \$27.7 million over the next four years in the development of employment services for people on Sickness and Invalid's Benefits to support people who want to work.

The Government will invest more than \$6 million per annum from 1 July 2006 to extend eligibility to the higher single rate of NZ Super to all married superannuitants with a partner in long-term residential care. Eligibility to the Living Alone Payment will also be extended to married superannuitants so long as they meet other criteria. Currently payment of the higher single rate of NZ Super (and if they qualify a Living Alone Payment) is generally limited to married superannuitants whose partner is receiving a Residential Care Subsidy.

In 2005 the Government announced its intention to invest another \$55.2 million over the next four years in childcare and employer support initiatives to enhance the work choices available to parents. The childcare initiatives include increased funding for Out of School Care and Recreation (OSCAR) providers, increased income thresholds for OSCAR/Childcare subsidies and extending the Childcare Subsidy to approved home-based care, approved by the Ministry of Education.

Annexe

Work Start Grant

Qualifications

To receive the Work Start Grant the client must:

- be aged 16 years or more
 - meet an income and asset test
 - be unlikely to make the transition into paid work or be unable to attend the interview without the grant
 - have a verified job interview for a position of 15 hours or more per week or have a verified job offer of 15 hours or more per week (excluding self employment)
 - have an essential cost because of the interview or job offer
 - be a New Zealand citizen or permanent resident (i.e. not be in New Zealand unlawfully or here on a temporary permit)
 - generally be ordinarily resident in New Zealand
- For more information see [Deciding ordinarily resident](#)
- be a client whose principal income is a benefit **or**
 - be actively enrolled with Work and Income as a job seeker or a student registered with Student Job Search

Payment

The maximum amount payable must not exceed \$250 in a 52-week period. More than one grant may be made within a 52-week period but this must not exceed the \$250 limit.

Exceptions

Where a client's essential costs include [relocation](#), [safety equipment](#) or [bridging finance](#), you can pay up to a total of \$500 in a 52 week period. The maximum of \$500 can only be paid where the \$250 for these costs is considered inadequate to pay the client's **specific** costs. The total payment cannot exceed \$500 in any 52-week period. In every other situation, the maximum amount must not exceed \$250 in any 52-week period.

At 26 April 2005

Below are the weekly income limits for Work Start Grants at 26 April 2005:

Category	Gross weekly income limit
Single, 16 - 17 years	\$385.13
Single, 18+ years	\$442.64
Married or civil union couple (with or without children)	\$642.90
Sole parent, 1 child	\$537.12
Sole parent, 2+ children	\$565.88

(The income limits did not change from 1 April 2005 to 26 April 2005. The only change at 26 April 2005 was the inclusion of civil union couples as a category.)

For the latest income limits see [Income limits](#).

Source: http://www.workandincome.govt.nz/manuals-and-procedures/income_support/extra_help/work_start_grant/content.htm